

that's going to hurt your consumers. And you've got to get the right balance between those. So it's a difficult time to be a central banker, and I believe the world will have to raise real interest rates.

Q: As far as financial stability is concerned, Indian banks have cleaned up their balance sheets. The corporate sector is also deleveraged. Banks are focussing on high rated corporate and retail borrowers. What kind of risk could the Indian markets and financial stability face in the future?

A: Let me give you the global answer. Partly because of improvements in thinking about what bank regulation is about, and thinking about systemic, macro, and macro-prudential risks, commercial banks worldwide are in a very resilient position, with higher capital buffers than in the past.

In the rest of the world, and maybe it's true in India, the vulnerabilities are in the non-bank sector—shadow banking and the companies themselves. In 2008, all of the problems started and pretty much stayed in the financial sector... If you look at the US and Europe, you see that the financial sector is in better shape than it was [then], but the corporate sector is in worse shape. I wish I knew more about the Indian economy to give you a local answer, but the most likely place is a surprising part of the system outside of the banking sector. And that part, unsurprisingly, could be corporations. We thought corporations would be a problem in 2020 because they would have to close businesses and lay off employees. But then in the US at least, they basically threw everything in terms of liquidity, forgivable loans, and other things at companies. As a result, corporate defaults fell in 2020 and 2021. Some of that may come back now, because some of those lifelines given to the companies have been removed. And businesses that built up a lot of debt in that period, particularly short-term debt, like leveraged loans as they call them, can be particularly vulnerable.

Q: The RBI has missed the 6 per

ON HOUSEHOLD DEBT

People say that banks make floating rate loans so they're hedged. But if you raise the interest rate above what the borrower can pay, you turn interest rate risk into default risk for household debt, [and] that's a problem because lots of households borrow for consumption purposes and so have no collateral

ON INFLATION

They developed this thing called the modern monetary theory that basically says that you can borrow as much as you want, and it doesn't—as long as interest rates are zero—cause inflation. So that theory is true, as long as nobody believes it's true. But once you start to use that, then it ceases to be true, because monetary and fiscal are all tied together

ON BAD BANKS

If you don't have good bank-bad bank, all your banks are bad. The good thing about good bank-bad bank is you can isolate the problem. [But] you still have to resolve the problem. It's still going to be very difficult to recover much for the bank, but it is a step in the right direction.

cent inflation target for three consecutive quarters. We are witnessing this for the first time, as we started the inflation targeting regime only six years ago. Are these kinds of breaches common in global markets? How should our central bank deal with this, given that the RBI's credibility as a monetary authority with inflation targeting will be called into question?

A: In principle, inflation targets are right and quite a good idea. If you are trying to control inflation, you need something that you can hold out to say, 'Here is my success or failure.' In the US, the central bank has two mandates: they are supposed to keep inflation under control and keep unemployment under control. It's hard to do both at the same time, and they were persistently below their inflation target for a long time. And then eventually, they started to believe that inflation has gone. So, they started to leave interest rates lower and real interest rates incredibly low for a long time. But I think the fact that they felt like they had to do something about their target was good. I think the inflation target in the US [2 per cent] is a bit too low—3 per cent is a better number.

Q: India is passing through a stage where the borrowings are at record levels, fiscal deficit is high and debt to GDP is also at an elevated level. How should India handle its debt management strategy?

A: It's not just a central bank problem. It's monetary and fiscal [problems] together; you have got to make sure that the people expect that the real value of the debt will be paid off. And that's the way to stop fiscal inflation. You have got to make sure that they are not printing crazy amounts of money—that's the monetary thing. And they're not two issues attached at the hip—they're very much the same issue. So, both fiscal and monetary credibility needs to be restored if you want to keep inflation from becoming an issue. If inflation is under control in India, they should hold on to that.

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